

SOLO SAAS · INCOME MODEL

How BacktestLab Makes Money

Revenue Mechanics, Funnel Math & Income Streams

A plain-English breakdown of exactly how this one product converts users into recurring monthly income — with the real numbers behind the headline figures.

- Recurring MRR
- Free → Paid Funnel
- 5 Income Streams
- \$10k = ~350 users

01 The Income Engine

The core model is **recurring subscription revenue (MRR)**. One user pays ~\$29/month and keeps paying month after month. That is the whole advantage: you do the work once, and a retained customer pays you roughly 12× per year without you rebuilding anything.

Your revenue at any moment is simply:

$$\text{MRR} = (\text{paying users}) \times (\text{average price})$$

So after launch your job narrows to just two activities: **getting new paying users** and **keeping the ones you already have**. Everything else is detail.

\$29

ENTRY PRICE / MO

12×

YEARLY PAY / USER

~350

USERS FOR \$10K/MO

90%+

RETENTION TARGET

02 The Conversion Funnel

Money does not appear from simply "having a product." It appears at the end of a funnel. Every dollar travels this path:

Traffic → Free Signups → Active Users → Paid Conversions → Retained Payers (\$)

Realistic rough rates for a tool like this:

Funnel Step	Typical Rate
Visitors → Free signups	~2–5% of people who land on the site
Free → Paid conversion	~3–8% of free users upgrade
Monthly retention of payers	Aim for ~90%+ staying each month (low churn)

The free tier is a sales tool, not charity

You give limited backtests free so people *experience* the value, hit the limit at the most exciting moment, and upgrade to keep going. That limit (e.g. "5 backtests/month") is the single most important pricing lever you control.

03 The Math, Made Concrete

Here is what different scales actually look like — so the "\$10k/month" figure stops being abstract:

Paying Users	Price	Monthly Revenue (MRR)	Annualized
10	\$29	\$290	\$3,480
50	\$29	\$1,450	\$17,400
100	\$29	\$2,900	\$34,800
350	\$29	\$10,150	\$121,800
350 (mix w/ \$79 tier)	~\$45 avg	~\$15,750	\$189,000

The honest takeaway

\$10k/month means roughly 350 paying subscribers. That is the real target hiding behind the headline number. It is achievable — but it is a *marketing* achievement, not a coding one. At a 5% free-to-paid conversion rate, 350 payers implies roughly **7,000 free signups**, which in turn needs a lot of traffic accumulated over time.

04 Five Income Streams From One Product

#	Stream	What it is
1	Pro Subscriptions (~\$29/mo)	Your core engine. Around 90% of revenue lives here. Unlimited backtests, all strategies, comparison, saved history.
2	Elite Tier (~\$79/mo, v2)	AI optimization + multi-exchange data. Same users, higher price — the cheapest revenue to add because they already trust you.
3	Annual Plans (2 months free)	Same customers paying upfront. Improves cash flow and crushes churn — a user who prepays a year cannot churn next month.
4	Affiliate / Referral (later)	Exchange referral links, or paying users a cut to bring friends. Turns customers into a sales force.
5	One-time / High-ticket (v2+)	"Done-for-you strategy reports," a deeper data-API tier, or an annual data-export add-on. Optional, only once the base is proven.

The key insight

Streams 2–5 are all built **on top of the same codebase and the same users**. You do not build five products — you build one and monetize it deeper over time.

05 Why It Compounds (And Why It's Not Fully Passive)

The recurring nature means month 2's revenue starts from month 1's base, not from zero. If you keep churn low, revenue **compounds** — each month you stack new users on top of retained ones. That is the staircase that carries you from \$290 to \$10k.

The honest caveat

It is never *fully* passive. Ongoing work is (a) marketing to keep new users flowing into the top of the funnel, and (b) light maintenance + support to keep churn low at the bottom. The accurate mental model is **"build once, earn while maintaining lightly"** — not "build once, never touch again."

06 The Three Levers That Actually Move Income

The product spec handles the *build*. Your income depends just as much on *distribution* — which is why "nobody finds it" was rated a top-two risk. Three things move the needle most:

Lever	Action
Free-tier limit	Tune it so users hit the wall right when they are hooked — that is the moment of upgrade.
Audience from day 1	Start building before launch: an X/Twitter account posting backtest results, a few r/ algotrading posts, a YouTube walkthrough. Backtest results are inherently shareable content.
Churn watch	Obsess over retention. Keeping a customer is far cheaper than finding a new one, and low churn is what makes the staircase compound instead of leak.

Bottom line

The build is the easy half. Income is a function of how many users enter the funnel and how few leave. Treat marketing as a permanent workstream equal in weight to development, and the \$29 subscriptions compound into a real monthly income.